

Lecture 3: Federalism

Chapter E, Section 2 (pp. 43-69)

P. Egli - Introduction to Swiss Constitutional Law, 3rd Edition

Study Notes

2. FEDERALISM

Remember

- **Federalism** describes the delicate balance of **unity and diversity** -- combining federal **shared rule** and **self-rule** of constituent units.
- The **principle of subsidiarity**: smaller units act autonomously; only tasks they cannot fulfill are assigned to the next level.
- A **federal state** is composed of a federal authority and constituent political units (cantons/states).

2.1 Concept: Overview

a) Federalism -- Term and Functions

- From Latin '**foedus**' = covenant
- A composite structure of two or more orders of government
- **Shared rule**: constituent units participate in federal decision-making
- **Self-rule**: constituent units have autonomous fields of competence

Functions

- Accommodates a **plurality of interests and identities** within a diverse society
- Enhances **citizen participation** and **democratic control**
- Leads to **innovation and diversity** ('laboratory federalism')
- Reflects Switzerland's linguistic, cultural, and geographical diversity
- Promotes **internal cohesion and cultural diversity** (Art. 2 para. 2 Cst)

b) Subsidiarity

- **Art. 5a Cst**: principle of subsidiarity in allocation of state tasks
- **Art. 43a para. 1 Cst**: Federation only undertakes tasks cantons cannot perform or requiring uniform regulation
- Hard to derive a directly applicable, binding rule from this principle

c) Federal State vs. Unitary State vs. Confederation

Type	Key Feature	Example
Federal state	Vertical power distribution	CH, USA, Germany
Unitary state	Sovereignty at national level	France, Italy
Confederation	Treaty between sovereign states	Old CH pre-1848

- **Federal state** = constitution as common basis, amended by majority rule (bottom-up)
- **Unitary state** = one constitution, central government decides powers (top-down)
- **Confederation** = international treaty, amendment requires unanimity
- The name '**Swiss Confederation**' is legally misleading -- Switzerland is a federal state since 1848

2.2 Three Levels of Government

Remember

- Switzerland has **three levels**: Federation, cantons (26), and communes (~2,100).
- Cantons are autonomous units with: sufficient tasks, organizational autonomy, and financial autonomy.
- Cantons participate in federal decision-making as specified in the Constitution.
- Six cantons have only **half a cantonal vote** in referenda and one delegate in the Council of States.

a) The Federation

- Possesses all characteristics of a state (**Jellinek's Dreielementenlehre**):
 - > **Permanent population** (Art. 1 Cst)
 - > **Defined territory** (sum of 26 cantons; no exclusively federal territory)
 - > **State authority** (expressed in federal executive, legislative, judiciary)
- Federation assumes **only tasks explicitly transferred** by the Constitution (Art. 42 Cst)
- Tasks not expressly federal are the **cantons' responsibility** (Art. 3 Cst)

b) The Cantons

- **26 cantons**, each a self-organizing governmental unit (not merely administrative)
- **Art. 3 Cst**: cantons are sovereign to the extent not limited by the Federal Constitution
- Responsible for: **health care, education, culture**, and can levy taxes

i. Cantonal Autonomy (Art. 47 Cst)

- **Tasks** (Art. 47 para. 2 Cst): Federation shall leave cantons sufficient tasks; cantons decide which, when, and by what means (Art. 43 Cst)
- **Organization**: cantons have their own constitutions (Art. 51 Cst), parliaments (50-180 members), governments (5-7 members), and courts
- **Finances**: cantons collect their own taxes (income, corporate, other within Art. 134 Cst limits)

ii. Participation at Federal Level

- **Referendum**: constitutional amendments require majority of cantons (Art. 140 para. 1 lit. a Cst); 8 cantons can trigger optional referendum (Art. 141 Cst)
- **Initiative**: cantons can submit proposals to Federal Assembly (Art. 160 para. 1 Cst) -- but this is a petition, not a binding initiative
- **Information and consultation**: Federation must inform and consult cantons on matters affecting their interests (Art. 45 para. 2, Art. 55, Art. 147 Cst)

iii. Equality of Cantons

- All cantons have the same competencies, rights and obligations
- Exception: **six cantons** have half a cantonal vote in referenda (Art. 142 para. 4 Cst) and only one delegate in the Council of States (Art. 150 para. 2 Cst)

c) The Communes

- Smallest political units; currently about **2,100** (declining through mergers)
- Autonomy guaranteed by **cantonal law** (Art. 50 para. 1 Cst)

- Four-fifths use **communal assembly** (direct democracy); one-fifth have their own parliament
- Have general residual powers, own financial resources, subject to cantonal monitoring

2.3 Federal Guarantees

Remember

- Federation guarantees **cantonal constitutions** (Art. 51 Cst)
- Federation protects the **constitutional order** of cantons (Art. 52 Cst)
- Federation guarantees the **existence and territory** of cantons (Art. 53 Cst)

a) Cantonal Constitutions (Art. 51 Cst)

- Must be **democratic**: parliament elected by the people; division of powers; mandatory constitutional referendum AND initiative
- Must be **not contrary to federal law** (Art. 51 para. 2 Cst)
- Need **federal approval** by the Federal Assembly (simple federal decree)

b) Protection of Constitutional Order (Art. 52 Cst)

- Federation intervenes when cantonal public order is disrupted and canton cannot maintain it alone
- Hierarchy: first other cantons assist, then the Federation
- Federal interventions are **extremely rare** (examples: World Economic Forum in Davos, COVID-19)

c) Existence and Territory (Art. 53 Cst)

- No secession, exclusion, or creation of a new canton without constitutional amendment
- Changes to existence: requires concerned population + concerned cantons + majority of Swiss people + majority of cantons (Art. 53 para. 2 Cst)
- Changes to territory: requires concerned population + concerned cantons + Federal Assembly decree (Art. 53 para. 3 Cst)
- Boundary adjustments: treaty between cantons with notification to Federation (Art. 53 para. 4 Cst)

2.4 Distribution of Competencies

Remember

- The Federal Constitution **lists federal competencies explicitly**; cantons retain all **residual powers** (Art. 3, Art. 42 Cst).
- **Extent** of competency: comprehensive, fragmentary, framework, or promotion.
- **Effect** on cantonal jurisdiction: subsequently derogating, originally derogating, or parallel.

a) General Method

- Switzerland follows the **predominant model**: enumerate federal competencies, cantons retain residual power (also used by USA, Australia, Germany)
- To transfer power to the Federation requires a **constitutional amendment** approved by double majority (Art. 142 para. 2 Cst)

b) Extent of the Competency

1. Comprehensive Competency

- Federation may regulate **any matter** in a field
- Language: 'shall legislate', 'shall ensure', 'has the exclusive right'
- Examples: monetary policy (Art. 99), economic policy (Art. 100), road transport (Art. 82)

2. Fragmentary Competency

- Federation authorized to regulate only a **limited part** of a subject
- Examples: direct taxes with maximums (Art. 128), VAT with maximum rates (Art. 130)

3. Framework Competency

- Federation lays down **basic principles only**; cantons fill in details
- Language: 'shall lay down principles'
- Example: tax harmonization (Art. 129)

4. Promotion Competency

- Federation may **support and encourage** cantonal efforts
- Example: protection of natural/cultural heritage (Art. 78 para. 3)

c) Effect on Cantonal Jurisdiction

1. Subsequently Derogating Effect (General Rule)

- Cantons may legislate **as long and as far as** the Federation does not use its competency
- If Federation refrains or only partially legislates, cantons remain competent
- Example: civil law (Art. 122)

2. Originally Derogating Effect (Rare)

- From the moment the competency is established, cantons have **no jurisdiction** anymore
- Rare because it risks legal uncertainty when Federation hasn't legislated yet
- Example: postal and telecommunications (Art. 92)

3. Parallel Effect

- Federation and cantons act **simultaneously and independently**
- Example: universities -- Federation operates ETH (Art. 63a), cantons run cantonal universities

d) Implementation of Federal Law

- Switzerland generally entrusts **cantons** with implementing federal law (Art. 46 para. 1 Cst)
- Few tasks directly administered federally: foreign relations, customs, postal/rail services
- Federation must allow cantons **all possible discretion** (Art. 46 para. 3 Cst)
- Federation must ensure cantons have **financial resources** (Art. 47 para. 2 Cst)

2.5 Cooperation and Intercantonal Treaties

a) Cooperation (Art. 44 Cst)

- Federation and cantons must cooperate, provide mutual respect and support
- Disputes resolved by **negotiation or mediation** where possible

b) Intercantonal Treaties (Art. 48 Cst)

- Cantons may conclude treaties (**concordats**) and create common organizations
- The most important instrument of **horizontal cooperative federalism**
- Treaties must NOT be contrary to law, federal interests, or rights of other cantons (Art. 48 para. 3 Cst)
- **Art. 48a Cst**: Federation may declare intercantonial agreements **generally binding** or require cantonal participation (in enumerated fields: criminal penalties, education, higher education, waste, transport, medical science)

2.6 Competencies of the Federation: Overview

- Most federal competencies in **Art. 54-135 Cst** (Chapters Two and Three, Title Three)
- Key areas: foreign relations (Art. 54), defense (Art. 57-61), education (Art. 62-72), environment (Art. 73-80), transport (Art. 81-88), energy (Art. 89-93), economy (Art. 94-107), social security (Art. 108-120), civil/criminal law (Art. 122-125), finances (Art. 126-135)

2.7 Primacy of Federal Law (Art. 49 Cst)

- **Art. 49 para. 1 Cst**: federal law takes precedence over any conflicting cantonal law
- 'Federal law' includes law at **all levels** (statutes, ordinances, and binding international law)
- Thus: an international treaty or federal ordinance prevails over cantonal constitutional law
- **Art. 190 Cst**: courts must apply federal statutes (even if unconstitutional), but all other acts (cantonal laws, ordinances) may be declared invalid if contrary to federal law

2.8 Federal Supervision and Coercion

- **Art. 49 para. 2 Cst**: Federation must ensure cantonal compliance with federal law
- Delegated tasks: closely scrutinized; residual cantonal powers: lighter supervision
- Supervisory measures: objections, annulling decisions, directives, inspections, approval requirements
- **Federal coercion** (rarely used): substitution, curbing subsidies, military intervention

2.9 Limits and Challenges

- **Trend toward centralization**: tasks increasingly transferred to federal level; hardly any areas of complete cantonal autonomy remain
- **International developments**: international cooperation (especially EU) limits sovereign powers at all levels
- **Tension between federalism and democracy**: equal cantonal representation vs. equal individual representation
- Example: 2020 initiative 'For responsible businesses' -- approved by 50.7% of voters but **rejected by majority of cantons** (11.5 smallest cantons can form a blocking majority)